Type MS · Demand, supply and movements along the curves

Answer 1 of 9 · Question 2 part g · 3 marks

2022 JUN · Paper 01 · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A** W -1.5 B is not correct because this is unitary elasticity C is not correct because this is price inelastic D is not correct because the responsiveness is equal	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** External economies of scale A is not correct because this is when an individual firm benefits from falling average costs C is not correct because this results from higher average costs D is not correct because this is a type of internal economies of scale	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a suitable disadvantage • Reduced profit • Higher (advertising) costs • Need to reduce prices Accept any other appropriate response	**(1)**

Type MS · Demand, supply and movements along the curves

Answer 1 of 9 · Question 2 part g · 3 marks

2022 JUN · Paper 01 · extract 2 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $75 000 + ($525 x 1350) **(1)** Award 1 mark for correct total costs = $783 750 **(1)** Award 2 marks if total costs per month are correctly calculated as $783 750, even if no calculations are shown Award 1 mark for 783 750, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition • One firm buying out another firm • Obtaining control of a firm by buying over 50% of its shares Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • They may develop buying habits **(1)** to stay loyal to a particular brand they enjoy **(1)** • They may copy the behaviour of others **(1)** in order to fit in with others in a group **(1)** Accept any other appropriate response	**(2)**

Type MS · Demand, supply and movements along the curves

Answer 1 of 9 · Question 2 part g · 3 marks

2022 JUN · Paper 01 · extract 3 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price increase would increase the quantity supplied **(1)**. An increase from $4.50 to $5.00 results in more units **(1)** because producers would increase profits **(1)** • A price decrease would decrease the quantity supplied **(1).** A decrease from $4.50 to $4.00 results in fewer units **(1)** leading to a movement along the supply curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Demand, supply and movements along the curves

Answer 1 of 9 · Question 2 part g · 3 marks

2022 JUN · Paper 01 · extract 4 of 6 · find part g in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The supply of labour is the number of people willing and able to work • It can be affected by many factors, including skills and qualifications • Normally, the supply of labour will increase if there is an increase in the number of people qualified to work in that industry • There has been an increase in the number of graduates with degrees in science, maths and modern languages • By having a degree in these subjects, graduates are more likely to be attracted into the teaching profession by the bonus payment of £9 000 • Therefore, having a degree in science, maths or modern languages would lead to an incentive of higher wages, meaning that the supply of teachers should increase with an increase in skills and qualifications **AO4** • However, it may depend on other factors such as working conditions in teaching because long hours, bureaucracy and student behaviour may deter those with skills and qualifications to teach • If the skills and qualifications can be used by other occupations, graduates may move to alternative types of employment and will not increase the supply of teachers • The bonus is only available to teachers with degrees in maths, science and modern languages and so those qualified in other subjects may find it more beneficial to work in other types of employment • Therefore, an increase in skills and qualifications may not always lead to an increase in the supply of teachers

Type MS · Demand, supply and movements along the curves

Answer 1 of 9 · Question 2 part g · 3 marks

2022 JUN · Paper 01 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Demand, supply and movements along the curves

Answer 1 of 9 · Question 2 part g · 3 marks

2022 JUN · Paper 01 · extract 6 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · Demand, supply and movements along the curves

Answer 2 of 9 · Question 1 part c · 2 marks

2019 JUN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** **A** Land	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **A** $190 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to amount willing to be purchased and 1 mark for reference to price The quantity of goods/services consumers are willing and able to buy **(1)** at a given price **(1)**	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs	**(1)**

Type MS · Demand, supply and movements along the curves

Answer 2 of 9 · Question 1 part c · 2 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

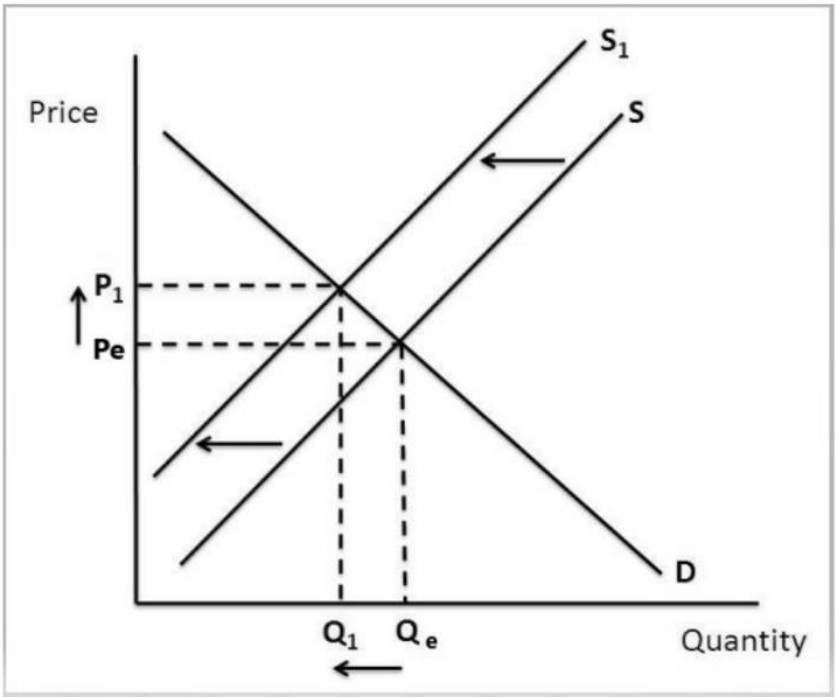
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for reference to the relevant sector of the economy The provision of services in the economy	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation $12 100 ÷ 2 000 **(1)** Award 1 mark for correct average cost per unit (AC) = $6.05 **(1)** Award 2 marks if average cost per unit is accurately calculated, even if no calculations are shown Award 1 mark if students show calculation and put 6.05 without the dollar sign Do not award marks for the formula	**(2)**

Type MS · Demand, supply and movements along the curves

Answer 2 of 9 · Question 1 part c · 2 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context of music concerts • One reason is that there are no substitutes **(1)** if they want to see the artist performing live **(1)** the consumer will have no choice but to pay a high amount **(1)** Accept any other appropriate response	**(3)**

Type MS · Demand, supply and movements along the curves

Answer 2 of 9 · Question 1 part c · 2 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Inca Kola was a major competitor of Coca-Cola and the market leader • Coca-Cola had a slightly lower share of the market than Inca Kola, with 32.0% compared to 32.9% • Inca Kola was well established in Peru (since 1935) • Buying a share of the company was a way to benefit from the success rather than struggle to compete • The purchase meant Coca-Cola no longer needed to compete with Inca Kola for market share • Coca-Cola's purchase means they have much more control over the Peruvian fizzy soft drinks market • Coca-Cola also gets a share of Inca Kola's profits

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Demand, supply and movements along the curves

Answer 2 of 9 · Question 1 part c · 2 marks

2019 JUN · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question number	Answer	Mark

Type MS · Demand, supply and movements along the curves

Answer 3 of 9 · Question 1 part c · 2 marks

2020 JAN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** **D** 0	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **D** $750 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to amount producers are willing and able to sell and 1 mark for reference to price The quantity of goods or services producers are willing and able to sell **(1)** at a given price/at a given time **(1)**	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Building construction/Car production/Shipbuilding Accept any other appropriate response	**(1)**

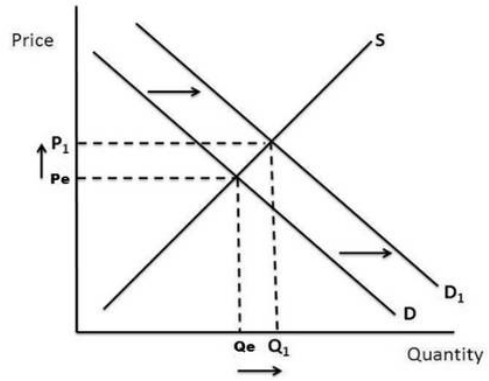
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition The people used in the production of goods and services Accept any other appropriate response	**(1)**

Type MS · Demand, supply and movements along the curves

Answer 3 of 9 · Question 1 part c · 2 marks

2020 JAN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 10 ÷ 25 **(1)** Award 1 mark for correct income elasticity of demand (YED). = 0.4 **(1)** Award 2 marks if YED is correctly calculated as 0.4, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Demand, supply and movements along the curves

Answer 3 of 9 · Question 1 part c · 2 marks

2020 JAN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • The opportunity cost is a new school the government cannot build **(1)** it cannot build the school and the hospital **(1)** because it does not have the resources/money to fund both **(1)** Accept any other appropriate response	**(3)**

Type MS · Demand, supply and movements along the curves

Answer 3 of 9 · Question 1 part c · 2 marks

2020 JAN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Question number	Indicative content	
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that firms will want to profit maximise • By matching fundraising of up to $1 000 per employee, McAfee would reduce the profits it can make • It is possible McAfee will attract positive publicity due to its fundraising match programme • This means that consumers may be more likely to buy computer software security from McAfee rather than its competitors • Staff may also be motivated by the programme so staff turnover may reduce/productivity may increase • Therefore McAfee could still make larger profits than if it did not run the programme • McAfee already has a revenue of over $2.5bn so may believe it can afford to be charitable	
Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Demand, supply and movements along the curves

Answer 3 of 9 · Question 1 part c · 2 marks

2020 JAN · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question number	Answer	Mark

Type MS · Demand, supply and movements along the curves

Answer 4 of 9 · Question 2 part d · 2 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO2 1 mark** **D** Most efficient	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **C** Producer demand for labour to make goods	**(1)**

Type MS · Demand, supply and movements along the curves

Answer 4 of 9 · Question 2 part d · 2 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for identifying the fixed costs 40 250 + 10 125 **(1)** Award 1 mark for calculating total fixed costs = 50 375 Rs **(1)** Award 2 marks if total fixed costs are correctly calculated as 50 375 Rs, even if no calculations are shown Award 1 mark if total fixed costs are correctly calculated as 50 375 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to amount willing and able to be purchased and 1 mark for reference to price The quantity of goods/services consumers are willing and able to buy **(1)** at a given price **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the policy and 1 mark for development of the policy Taxation **(1)** to reduce the consumption of a demerit good that is over consumed **(1)** Accept any other appropriate response	**(2)**

Type MS · Demand, supply and movements along the curves

Answer 4 of 9 · Question 2 part d · 2 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in the context Irrigation would help the crops to grow **(1)** meaning farmers could grow more crops using the existing resources available **(1)** increasing the output and leading to higher productivity **(1)** Accept any other appropriate response	**(3)**

Type MS · Demand, supply and movements along the curves

Answer 4 of 9 · Question 2 part d · 2 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business aims may include maximising profit, caring for customers, completing charitable work or maximising revenue/sales • When they set up the café, Jo and Fiona aimed to help young people in their local area and so making a profit was not their priority • Because there have been complaints about the length of time it takes customers to receive orders, the number of customers may fall • This may mean the sisters are unable to employ as many waiters and waitresses and even go out of business if they do not change the focus of their aims • In addition, the use of more experienced employees may lead to improved productivity and therefore profit could increase • By now focusing on increasing sales or making a profit, Jo and Fiona may be able to increase the number of customers visiting Lanterns which could help it stay in business **AO4** • However, some customers may visit the café because they like the sisters' aim of helping young people in the local area • Therefore if these waiters and waitresses are replaced with experienced employees, Lanterns may lose these customers, meaning the café is unable to stay in business • More experienced employees may demand higher wages and therefore increased costs. As a result this may not lead to increased profits • It may be more important to focus on caring for customers by spending longer training the inexperienced staff • This means Jo and Fiona would still employ young people from the local area but would also be trying to solve the problem of orders taking too long

Type MS · Demand, supply and movements along the curves

Answer 4 of 9 · Question 2 part d · 2 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Demand, supply and movements along the curves

Answer 4 of 9 · Question 2 part d · 2 marks

2020 NOV · Paper 01 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark

Type MS · Demand, supply and movements along the curves

Answer 5 of 9 · Question 2 part g · 3 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Increase in female participation A is not correct because this would lead to a decrease in the supply of labour B is not correct because this would lead to a decrease in the supply of labour D is not correct because this would lead to a decrease in the supply of labour	**(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** The only correct answer is: **C** Niche A is not correct because this is where there is one dominant seller in the market B is not correct because this relates to the demand and supply of labour D is not correct because this does not relate to manufacturing to customer requirements	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation $\frac{\text{\% change in quantity supplied}}{\text{\% change in price}}$	**(1)**

Type MS · Demand, supply and movements along the curves

Answer 5 of 9 · Question 2 part g · 3 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $12 000 + $115 000 (1) Award 1 mark for correct total variable costs = $127 000 (1) Award 2 marks if total variable costs are correctly calculated as $127 000, even if no calculations are shown Award 1 mark if the answer given is 127 000 with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition Lowest legal amount paid to employees Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason There are finite/limited resources **(1)** therefore demand for resources is greater than the supply of them **(1)** Accept any other appropriate response.	**(2)**

Type MS · Demand, supply and movements along the curves

Answer 5 of 9 · Question 2 part g · 3 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price decrease would increase quantity demanded **(1)**. A decrease from $2.32 to $2.22 results in more units **(1)** because it becomes more competitive compared to substitutes **(1)** • A price increase would decrease quantity demanded **(1)**. An increase from $2.32 to $2.42 results in fewer units **(1)** because there would be a movement along the demand curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Demand, supply and movements along the curves

Answer 5 of 9 · Question 2 part g · 3 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • An oligopoly is where there are a few dominant firms, such as Vodacom, Airtel and Tigo (which have 86% of the market between them) • As a result of their dominance, these firms may be able to benefit from economies of scale and therefore enjoy lower average costs. They may pass these lower costs on to consumers in the form of lower prices • Firms like Vodacom may also be able to afford to use profits for research and development (R&D) which may lead to a better quality telecoms services for consumers • The firms in the telecoms oligopoly may try to compete in price wars and keeping prices low would benefit the consumer • They may also offer additional services to consumers who have subscribed to their networks in an attempt to gain market share from competitors **AO4** • However, if the telecoms firms have high costs due to competing via non-price competition such as advertising, they may not be able to offer low prices to consumers • Such costs may also lead to fewer firms in the market. For example Smart Telecoms had to leave the market because it could not compete with the larger firms • This would mean there are fewer firms left to compete for market share and therefore there would be less choice available for consumers • Even the successful small firms run the risk of being taken over or crowded out by dominant telecoms providers. This may be the case with the merger between Tigo and Zantel • This may increase the barriers to entry as it will be difficult for new firms to enter the market to compete with the successful, dominant firms, meaning even less choice for consumers • The firms in the oligopoly may collude in order to restrict choice and/or price competition, again causing a disadvantage to consumers

Type MS · Demand, supply and movements along the curves

Answer 5 of 9 · Question 2 part g · 3 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Demand, supply and movements along the curves

Answer 5 of 9 · Question 2 part g · 3 marks

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · Demand, supply and movements along the curves

Answer 6 of 9 · Question 1 part c · 2 marks

2023 JAN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** Land B is not correct because labour is a human resource C is not correct because capital is a man-made resource D is not correct because enterprise is the element of risk	**(1)**

Question number	A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the profit for the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **A** $5 300 B is not correct because this is 300 x $20 C is not correct because this is ($700 x $20) - 300 D is not correct because this is $700 x $20	**(1)**

Question number	What is meant by the term supply? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to amount producers are willing and able to sell and 1 mark for reference to price The quantity of goods or services producers are willing and able to sell **(1)** at a given price/at a given time **(1)** Accept any other appropriate response	**(2)**

Type MS · Demand, supply and movements along the curves

Answer 6 of 9 · Question 1 part c · 2 marks

2023 JAN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question number	State one type of an external economy of scale. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct type • Skilled labour/infrastructure/access to suppliers/similar businesses in area Accept any other appropriate response	**(1)**

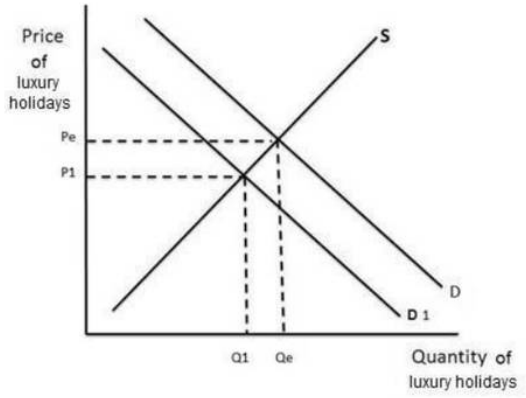
Question number	Define the term unique product. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A good/service for which there is no substitute Accept any other appropriate response	**(1)**

Question number	Calculate the price elasticity of supply (PES) for Connor's hair salon. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 2.6%/2% **(1)** Award 1 mark for correct PED = 1.3 **(1)** Award 2 marks if PES is correctly calculated as 1.3, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Demand, supply and movements along the curves

Answer 6 of 9 · Question 1 part c · 2 marks

2023 JAN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for luxury holidays after a fall in income. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Question number	Explain one possible disadvantage of privatisation for workers in the telecoms industry in Angola. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Workers may be made redundant as a result of privatisation **(1)** because private firms are likely to want the telecoms industry to reduce costs **(1)** in order to increase efficiency **(1)** Accept any other appropriate response	**(3)**

Type MS · Demand, supply and movements along the curves

Answer 6 of 9 · Question 1 part c · 2 marks

2023 JAN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the impact on the economy after a movement from A to B on the production possibility curve (PPC). **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A PPC shows the combination of goods that can be produced with all available resources • The maximum productive potential of the economy can be seen at point A on the PPC, where if 350 million units of capital goods are produced, 160 million units of consumer goods can be produced • If the number of capital goods produced increases to 450 million units it is not possible to continue to produce 160 million units of consumer goods • The number of consumer goods produced must fall by 30 million units, to 130 million units. This is shown at point B. (There is an opportunity cost) • As the number of capital goods produced increases, there will be an increase in the productive capacity of the economy • Because the economy can now produce more, the PPC will shift outwards allowing an increase in the number of capital goods and consumer goods to be produced in the future • An outward shift of the PPC indicates positive economic growth of the economy

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Demand, supply and movements along the curves

Answer 6 of 9 · Question 1 part c · 2 marks

2023 JAN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question number	Which one of the following options best describes the demand for the product? **Answer**	**Mark**

Type MS · Demand, supply and movements along the curves

Answer 7 of 9 · Question 2 part g · 3 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$ A is not correct because this is the formula for PED B is not correct because this does not relate to PES D is not correct because this formula is not used in economics	**(1)**

Question number	A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river. This is an example of which **one** of the following? **Answer**	**Mark**
2(b)	**AO2 1 mark** The only correct answer is: **A** A fine B is not correct because this would give a firm permission to do something C is not correct because this would encourage production due to reducing cost D is not correct because this is added to production costs or sale price	**(1)**

Question number	State **one** example of an external benefit. **Answer**	**Mark**
2(c)	**AO1 1 mark** Award 1 mark for an example of an external benefit • Education • Healthcare • Vaccinations Accept any other appropriate response	**(1)**

Type MS · Demand, supply and movements along the curves

Answer 7 of 9 · Question 2 part g · 3 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

	Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working. **Answer**	**Mark**
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.9%/-1.2% **(1)** Award 1 mark for correct PED = -1.58 **(1)** Award 2 marks if PED is correctly calculated as -1.58, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Define the term entrepreneur. **Answer**	**Mark**
2(e)	**AO1 1 mark** Award 1 mark for a correct definition An individual who organises the factors of production Accept any other appropriate response	**(1)**

Question number	Describe **one** reason why water is a factor of production. **Answer**	**Mark**
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason Water is a natural resource that can be used by firms in production **(1)** therefore water is classed as land **(1)** Accept any other appropriate response.	**(2)**

Type MS · Demand, supply and movements along the curves

Answer 7 of 9 · Question 2 part g · 3 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question number	Explain **one** effect on the supply of rice following a change in its equilibrium price. **Answer**	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price increase would increase the quantity supplied **(1)**. An increase from $2.20 to $2.30 results in a higher quantity **(1)** because producers would increase profits **(1)** • A price decrease would decrease the quantity supplied **(1)**. A decrease by $0.10 results in a lower quantity **(1)** leading to a movement along the supply curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Demand, supply and movements along the curves

Answer 7 of 9 · Question 2 part g · 3 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits of the public sector providing outdoor areas or parks. **Indicative content**
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The public sector is a part of the economy which is owned by the government and which operates in the public interest • It places dependence on the state for production of goods and services and places a high degree of importance on the state controlling this production • The state plays a key role in the provision of key public services such as; education, healthcare, social care and infrastructure • Amongst the aims of this sector are reducing social costs and increasing social benefits • If the public sector is responsible for the creation and maintenance of outdoor areas or parks, the space would be available to everyone, providing a social benefit • This could improve the health of anyone who uses these areas, meaning that there is less need for healthcare and so less public spending would be required in this area, reducing social costs **AO4** • If the public sector uses its finances to create/maintain parks it means less government revenue would be available for other things such as health and education • There is a cost in creating and maintaining the parks which must be funded by the government • The opportunity cost of providing more land for parks is the potential loss of housing and infrastructure • If parks provided by the government become too busy to be enjoyed or to provide suitable opportunities for people's health to benefit, it may be necessary for private sector funding to help provide outdoor areas or parks • This is likely to involve charging for access which would restrict availability for all and associated health benefits

Type MS · Demand, supply and movements along the curves

Answer 7 of 9 · Question 2 part g · 3 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Demand, supply and movements along the curves

Answer 7 of 9 · Question 2 part g · 3 marks

2023 JUN · Paper 01 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question number	A minimum wage is a type of Answer	Mark

Type MS · Demand, supply and movements along the curves

Answer 8 of 9 · Question 3 part c · 3 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

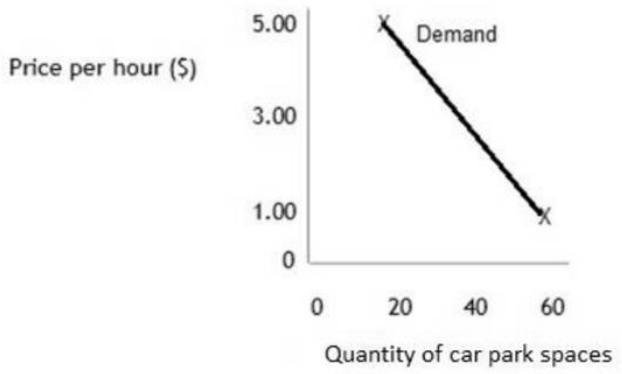
3(a)	**AO1 1 mark** The only correct answer is: **D** government intervention A is not correct because a minimum wage is not a resource used to produce goods and services B is not correct because these are things expected to be true although there is no definite proof C is not correct because a minimum wage does not have reduced average costs due to expansion	**(1)**

Question number	Which **one** of the following is likely to lead to an increase in the productivity of capital? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** An increase in technological advances A is not correct because this would lead to a decrease in productivity B is not correct because this may hinder use of capital D is not correct because this is not related to productivity	**(1)**

Type MS · Demand, supply and movements along the curves

Answer 8 of 9 · Question 3 part c · 3 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question number	Using the information in Figure 3, draw and label the demand curve for car park spaces on the diagram below. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for a downward sloping demand curve, labelled Award 1 mark for plotting $5.00 at a quantity of 20 on the demand curve Award 1 mark for plotting $1.00 at a quantity of 60 on the demand curve  	(3)

Type MS · Demand, supply and movements along the curves

Answer 8 of 9 · Question 3 part c · 3 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why the economy might have moved from PPF_1 to PPF_2. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The PPF shows the combinations of goods which can be produced with all available resources • A decrease in the ability to produce both capital and consumer goods is shown in Figure 4 due to the inward shift of the PPF • Negative economic growth would allow this to happen as it is possible there will have been a depletion of resources over time/a scarcity of resources (where an economy runs out of oil or coal) • It could also occur if skilled workers are attracted to opportunities in other countries • With the decrease in resources and/or emigration of skilled labour, it would be possible for production of both capital and consumer goods to decrease without an increase in the other

Level	Mark	Descriptor
	0	No rewardable material.
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Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Demand, supply and movements along the curves

Answer 8 of 9 · Question 3 part c · 3 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether WarnerMedia merging with Discovery is likely to benefit from economies of scale. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Economies of scale are falling average costs (in the long-run) due to expansion • Diseconomies of scale are rising average costs (in the long-run) because a firm grows too large • The combined number of subscribers will be 59 million, meaning that the unit costs are reduced because costs are spread over a larger number of customers • By bringing together technology from both WarnerMedia and Discovery, broadcasting would be more efficient • This means that Warner Bros. Discovery would be making better use of resources, leading to lower (long-term) average costs (technical economies) • Managerial economies may be present as specialist managers of the numerous channels, such as CNN news channel, could oversee the whole network, rather than having separate people in charge of each one • (Long-run) average costs could also be reduced as Warner Bros. Discovery could be advertised as one, therefore spreading the marketing costs and allowing marketing economies to take place • As the company is so large, with a value of $150bn, financial economies are likely because it would be able to get access to money at lower interest rates than a smaller firm **AO4** • However, some employees may be unhappy as a result of the merger, meaning they may not work as efficiently and diseconomies of scale may occur • Some employees may even leave if they are not able to adapt to any changes brought about due to the merger. This is likely to increase (long-run) average costs if Warner Bros. Discovery needs to recruit new employees • Communication problems and a lack of control may be caused by having such a large firm trying to integrate resources. As the broadcaster relies on technology being used effectively, this may lead to diseconomies of scale • The media company may have already reached the most efficient output and the lowest point on the (long-run) average cost curve • It will take time for the technology to be successfully implemented and so economies of scale may not occur for several years

Type MS · Demand, supply and movements along the curves

Answer 8 of 9 · Question 3 part c · 3 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
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Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Demand, supply and movements along the curves

Answer 8 of 9 · Question 3 part c · 3 marks

2023 JUN · Paper 01 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question number	Calculate the **excess supply** of meals if the quantity supplied during these three days totalled 261. You are advised to show your working. **Answer**	Mark

Type MS · Demand, supply and movements along the curves

Answer 9 of 9 · Question 2 part b · 1 mark

2023 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **B** Excess supply A is not correct because this would lead to a shortage of goods in the market C is not correct because lower prices may be needed to sell unsold goods D is not correct because this would not result from unsold goods in the market	**(1)**

Question number	Which **one** of the following statements is correct? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Quantity supplied will fall when price falls A is not correct because this is only true when supply is fixed B is not correct because supply is affected by changes in price D is not correct because the supply curve does not shift due to a price change	**(1)**

Question number	State the name for price elasticity of demand (PED) with a numerical value of -1. **Answer**	**Mark**
2(c)	**AO1 1 mark** Award 1 mark for the correct type of price elasticity of demand (PED) • Unitary	**(1)**

Type MS · Demand, supply and movements along the curves

Answer 9 of 9 · Question 2 part b · 1 mark

2023 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation -2.7%/-1.9% **(1)** Award 1 mark for correct PES 1.42 **(1)** Award 2 marks if PES is correctly calculated as 1.42, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Define the term substitute. **Answer**	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition • An alternative bought/produced in place of something else Accept any other appropriate response	**(1)**

Question number	Describe **one** reason why a firm might stay small. **Answer**	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • It may already be making enough money **(1)** to satisfy the needs of the owner **(1)** • The size of the market may be small **(1)** which means expansion is difficult **(1)** Accept any other appropriate response	**(2)**

Type MS · Demand, supply and movements along the curves

Answer 9 of 9 · Question 2 part b · 1 mark

2023 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question number	Explain **one** advantage of positive reviews for the owners of food stalls in Taba. **Answer**	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the advantage being in context • Stalls offering quality food will gain more customers **(1)** because customers will be attracted by the positive reviews **(1)** instead of buying from competitors **(1)** • Demand will increase for food from these stalls **(1)** leading to an increase in revenue **(1)** which will increase profit for the food stall owners **(1)** Accept any other appropriate response	**(3)**

Type MS · Demand, supply and movements along the curves

Answer 9 of 9 · Question 2 part b · 1 mark

2023 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether a monopoly such as PKP is likely to benefit consumers. **Indicative content**
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A monopoly is a market structure with one dominant seller in the market • PKP is the main rail carrier for passenger and freight services in Poland, making it a monopoly • Due to its dominance of the rail network in Poland, PKP may be able to take advantage of economies of scale • This means that the firm may have low (long-run) average costs as a result of purchasing or technical economies of scale • Therefore, it is possible that PKP could decide to pass the lower costs on to its passengers in the form of lower prices • PKP may also be more efficient because it is not duplicating resources, such as the railway tracks, used by competitors • This may have helped PKP to meet the transport needs of the state; one of its aims • PKP may also be able to innovate due to its lower (long-run) average costs, meaning it may be able to provide a high-quality service on its trains **AO4** • However, as it has few competitors, rail passengers and those transporting freight have little choice but to use PKP's service • This means PKP can be a price maker for its train services, which is not in the interest of its consumers • There is restricted choice in the market, such as which routes a passenger can take. This is because there is only one main supplier • PKP may be inefficient because it does not need to keep its costs low in order to compete with limited competition • It may be that PKP does not have any incentive to spend money on product innovation and some areas may not have access to train travel

Type MS · Demand, supply and movements along the curves

Answer 9 of 9 · Question 2 part b · 1 mark

2023 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · Demand, supply and movements along the curves

Answer 9 of 9 · Question 2 part b · 1 mark

2023 JUN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question number		Mark
	Income elasticity of demand (YED) for a product is -0.43 and the price elasticity of demand (PED) for the same product is -0.27. The data above shows that the product is **Answer**	